# The Competitive Environment

Exam code: 9BS0

Download PDF

Written by: Lisa Eades
Reviewed by: Steve Vorster
Updated on 23 January 2026

## The competitive environment

- The UK confectionery and biscuits market is **highly competitive**, with intense rivalry between large multinational businesses, supermarket own-label products and smaller independent firms
  - Competition takes place across **price, branding, product range, promotion** and **distribution**, and is shaped by the maturity of the market
- As most UK consumers already buy confectionery and biscuits regularly, businesses are not aiming to attract large numbers of new customers
  - Instead, they are competing to **win market share from rivals**, which increases competitive pressure

## The confectionery market

| Competitive element | Explanation |
|---|---|
| **Market concentration and rivalry** | • The UK confectionery market shows a **high level of concentration**<br>  ○ The **top five multinational firms control around 47.96%** of the UK confectionery market<br>  ○ Major players include **Mondelēz, Mars, Nestlé, Ferrero** and **Lindt & Sprüngli**<br>  ○ This means nearly half of all confectionery sales are made by just five businesses<br>• This level of concentration gives large firms significant **market power**, but rivalry between them remains strong because growth is limited |
| **Competition by segment** | • Chocolate accounts for **around 70% of UK confectionery sales by value** |

Stuck on something?
Ask questions and get help with exactly what you're revising.
Got it

| | |
|---|---|
| | ◦ sharing bags<br>◦ seasonal products (Easter and Christmas)<br><br>• Brands such as **Cadbury**, **Galaxy**, **Mars** and **Kinder** compete heavily through promotions and shelf space<br>• The sweets segment is smaller but highly competitive<br>• **Haribo holds around 22.6% of the UK sweets market**, making it the clear market leader<br>◦ Other brands, such as Skittles and Maoam, compete through flavour innovation and branding |
| **Non-price competition** | • In confectionery, competition is often **non-price based**, because constant price cutting can damage margins<br>• Businesses compete through:<br>◦ strong branding and advertising<br>◦ emotional marketing linked to treating and gifting<br>◦ product innovation and limited editions<br>◦ seasonal ranges and special packaging<br><br>• For example, Cadbury and Mars invest heavily in Easter and Christmas ranges to protect sales during key periods |

Help me understand

## The biscuits market

| Competitive element | Explanation |
|---|---|
| **Market concentration and rivalry** | • The UK biscuits market is also **highly competitive**, but competition is spread across a larger number of brands and product types<br>◦ The market is dominated by firms such as **pladis (McVitie's), Mondelēz (Oreo, belVita), Fox's Burton's Companies and Lotus Bakeries**<br>◦ Supermarket **own-label biscuits** are particularly strong competitors in everyday segments |

| | |
|---|---|
| | competition |
| **Value vs volume competition** | • Recent data shows that:<br>  ○ **Sweet biscuit sales values have increased by around 2–3%**<br>  ○ However, **sales volumes have fallen by over 3%** in some years<br>• This means competition is increasingly about:<br>  ○ protecting sales volume while prices rise<br>  ○ using promotions carefully<br>  ○ encouraging consumers to trade up to premium biscuits<br>• Brands such as Fox's and LU have achieved growth by focusing on **premium positioning and new flavours**, rather than low prices |
| **Competition from own-label** | • Supermarket own-label biscuits are a major competitive force<br>  ○ Own-label products often undercut branded biscuits on price<br>  ○ They appeal strongly to **price-sensitive families**<br>  ○ During the cost-of-living crisis, own-label gained market share in everyday biscuits<br>• This increases pressure on branded producers to:<br>  ○ justify higher prices through quality or branding<br>  ○ rely more on premium and indulgent ranges |

## Competition between multinationals and independents

- Competition between large firms and independents is **unequal**, due to differences in scale and resources
  - Independents rarely compete directly with multinationals, but instead **avoid the most competitive mass-market segments**

| | |
|---|---|
| • Benefit from economies of scale<br>• Dominate impulse and convenience retail<br>• Secure the best shelf space and promotions | • Compete in premium, ethical and gifting niches<br>• Focus on differentiation rather than price<br>• Sell through farm shops, delis and online |

## Barriers to entry

- The competitive environment creates **high barriers to entry**, especially for small firms
  - Key barriers include:
    - strong brand loyalty to established names
    - high marketing and promotion costs
    - supermarket power over pricing and shelf space
    - economies of scale in production enjoyed by larger businesses
- As a result, new entrants must usually:
  - target niche markets
  - offer ethical or premium differentiation
  - accept slower growth

Teacher only

Test your students on this in just a few clicks

- Create exam-aligned tests
- Tailor format & difficulty
- Quizzes or homework in minutes

Try Test Builder →

Was this revision note helpful? Yes No

**Resources**

Learning Hub

Scholarship

Join

Past Papers

Solution Banks

Sitemap

**Dashboard**

Overview

Brand ambassador

Profile

Subscription

Settings

Log out

**Company**

About us

Exam Specificity

Content Quality

Promotions

Jobs

Terms

Privacy

Cookie Policy

Help and Support

**Subjects**

Biology

Chemistry

Physics

Maths

Geography

English Literature

Psychology

All Subjects

© Copyright 2015–2026 Save My Exams Ltd. All Rights Reserved.

Neither IBO nor College Board were involved in the production of, and do not endorse, the resources created by Save My Exams.